

CHAPTER 10

Alpha (and the Low-Risk Anomaly)

Chapter Summary

Alpha—the average return in excess of a benchmark—tells us more about the set of factors used to construct that benchmark than about the skill involved in beating it. A positive alpha under one set of factors can turn negative using a different set. Whatever the benchmark, alpha is often hard to detect statistically, especially when adjustments for risk vary over time. The risky anomaly—that stocks with low betas and low volatilities have high returns—appears to be a strong source of alpha relative to standard market-weighted benchmarks and value-growth, momentum, and other dynamic factors.

1. GM Asset Management and Martingale

Jim Scott and Brian Herscovici of General Motors (GM) Asset Management, which manages GM Pension Fund, were entranced as Bill Jacques, the CIO of Martingale Asset Management, gave a pitch on his firm's low volatility strategy.¹

Low volatility seemed too good to be true.

Jacques claimed that stocks with low risk, as measured by past volatility or past beta, had higher returns than stocks with high risk. This was contrary to generally accepted financial theory: the capital asset pricing model (CAPM), for example, stated that there should be a positive relation between risk and return. Martingale's low volatility strategy was constructed to exploit this risk anomaly.

¹ This is based on the case "GM Asset Management and Martingale's Low Volatility Strategy," 2012, Columbia CaseWorks ID #110315. I have known Scott and Jacques for some time. I have taught a class with Scott on quantitative investments, which is basically what quant hedge funds do. Jacques contacted me out of the blue after I wrote a report on the Norwegian sovereign wealth fund in 2009 with William Goetzmann and Stephen Schaefer. In the report, I cited a Harvard Business School case study about Martingale written by Luis Viceira (another adviser to Martingale). Jacques phoned me one morning, swung by my office later the same day, and then immediately invited me to be part of Martingale's academic advisory board.